

Influencing factors can include how well the property is presented and styled, and whether it's a scarce kind of property; that is, there are not a lot of this type available for sale, but the demand is strong.

Remember, the agent's price and the valuer's price are only an *estimate*. A bank may use a valuer when a customer wants a loan, but buyers can also independently hire a valuer to inspect and assess a home they want to buy.

A note on underquoting

Homes, just like shoes, cars, dishwashers and hair-dryers, are covered by consumer law. It's a transaction of a product – albeit likely the biggest of your life – and the legalities are handled by the consumer affairs department in each state. These watchdogs monitor how real estate agents conduct themselves, and some agencies have been charged and fined in court for misrepresenting prices to buyers. This is a practice known as underquoting, and the industry widely agrees it gives agents a bad name, and wants it stamped out.

In a red-hot real estate market, when money is cheap to borrow and competition is fierce among buyers, allegations of underquoting are thrown about like confetti at a wedding, and it is not always an allegation that later proves correct. Buyers get frustrated and disheartened as attending auctions becomes more and more like a blood sport, and it is a common misunderstanding that if a property sells for a price above the advertised figure, it's an underquote. This is not necessarily the case. Underquoting has occurred when an agent lists a property at a price that is less than:

- **The vendor's reserve price**

That said, vendors have the right not to disclose the reserve – the minimum price they will accept – to their agent. The vendor may decide as late as the morning of, or during, the auction. Sometimes, agents will pause an auction and disappear inside to ask the vendor if the reserve has been reached. If the vendor tells the agent their reserve long before auction day, the agent cannot advertise the property below that figure. Instead, they estimate the price based on comparisons to similar properties nearby, and what they think the market will do on auction day.

- **The estimated sale price**

This figure is inked on the contract between the vendor, when they